EQUITY RESEARCH / FINANCIAL INSTITUTIONS

Grupo Financiero BG

Panama | Banking & Asset Management

+20.9%

AUM Growth

Year-over-year

27.2%

Capital Ratio

Well above mi

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01 / INVESTMENT THESIS

Why GFBG stands out

A bank transitioning into an asset manager

AUM grew +37% over two years and now represents 94% of the balance sheet. The revenue mix is shifting toward capital-light fee income — structurally higher margins, lower credit risk, more predictable earnings.

Best-in-class profitability — structural, not cyclical

ROE above 20% for three consecutive years, driven by a 28.1% cost-to-income ratio. That efficiency level is elite by any regional benchmark. It reflects operating leverage built into the model — not a one-year event.

Excess capital. Real optionality.

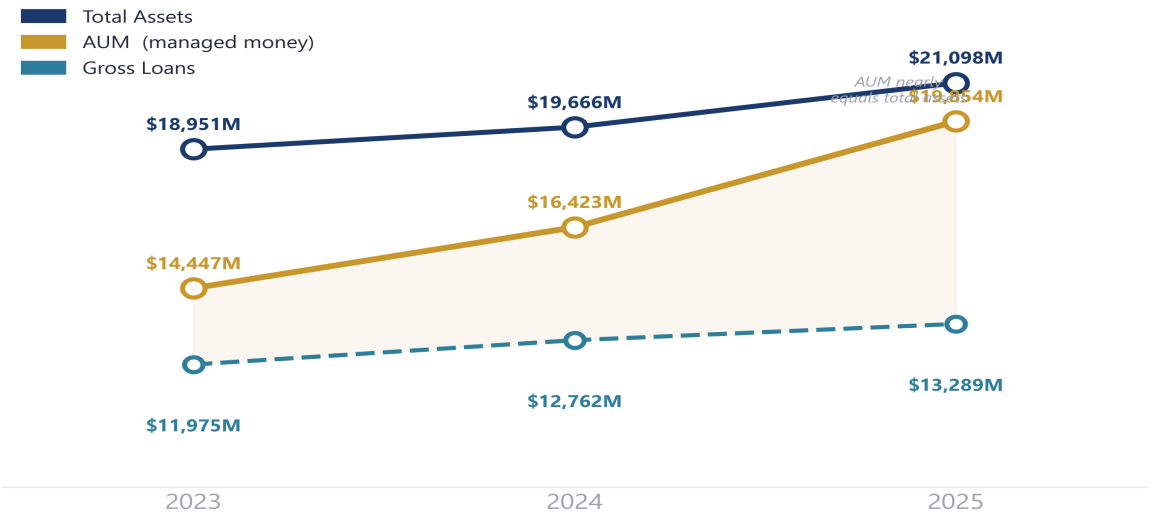
Capital ratio of 27.2% — well above regulatory requirements. Management can grow organically, pursue acquisitions, or return capital. Each is accretive to shareholders at current valuations.

02 / KEY CHARTS

The story in numbers

Managed money (AUM) is catching up to the bank's total size

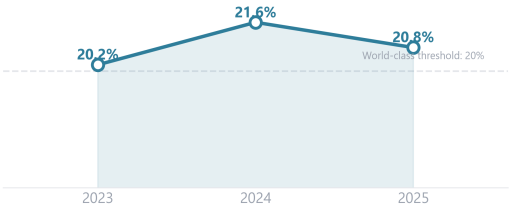
AUM grew 3x faster than loans — the business model is shifting toward asset management



AUM grows 3x faster than loans. By 2025, managed assets nearly equal the entire balance sheet. The business model has fundamentally shifted.

The bank earns over 20% return for its shareholders — every year

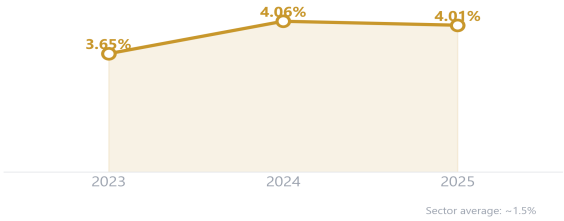
ROE above 20% is considered excellent. Most banks average 10-12%.



ROE above 20% — held for three consecutive years.

For every 100 in assets, the bank generates 4 in profit

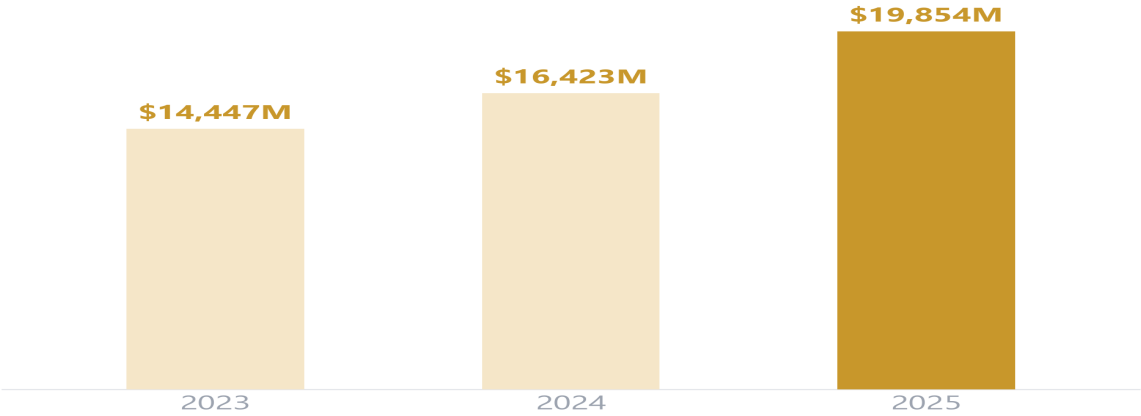
ROA above 1.5% is exceptional. This bank earns nearly 3x the sector average.



ROA at 4% — nearly 3x the regional banking average.

Managed assets are growing very fast

AUM grew +37% in two years — this is the bank's fastest-growing segment



AUM grew from $14.4B to $19.9B in two years — the fastest-growing segment in the business.

03 / KEY INSIGHTS

What the numbers tell us

- **AUM now equals 94% of the balance sheet**
  Up from 76% in 2023. The pace of shift is accelerating — driven by higher-margin fee income replacing spread-dependent lending revenue.

- **ROE above 20% — three consecutive years**
  Global banking peers average 10-12%. GFBG earns double. The gap is structural: elite cost control and a capital-light revenue mix.

- **Loan-to-Deposit ratio declining: 95% to 91%**
  Less reliance on credit. More room for fee-based income. This shift lowers earnings volatility and improves the quality of revenue.

- **Capital ratio of 27.2% — real strategic flexibility**
  No need to raise equity to fund growth. The bank can invest, acquire, or return capital — from existing resources.

04 / VALUATION

Is the stock cheap or expensive?

GFBG trades at a premium to regional peers. That premium is justified by structurally higher ROE and fee-based growth. Based on regional comparables:

Metric	GFBG (Est.)	Regional Peers	Read
P/B (Price / Book)	**~2.2x**	1.0x – 1.8x	Premium — justified by ROE
P/E (Price / Earnings)	**~12x**	9x – 14x	Fairly valued to slight premium
ROE	**20.8%**	8% – 14%	Best-in-class
AUM Growth (YoY)	**+20.9%**	+5% – +12%	Significantly above peers

A P/B of ~2.2x sits above the peer range — but GFBG's ROE is nearly double the median. High-ROE franchises historically command a durable premium. If ROE remains above 20%, current multiples are sustainable. Downside risk is limited to a structural deterioration in AUM growth or margins.

05 / CATALYSTS

What could drive the stock higher

+ Continued AUM growth expands fee income

Reducing earnings volatility and supporting multiple expansion. As fee income displaces interest income, the revenue profile becomes more predictable and deserves a higher valuation multiple.

+ Revenue mix shift structurally lifts margins

Fee income carries no credit risk and scales with AUM — not with balance sheet size. Each percentage point shift in the mix improves ROE without additional capital deployment.

+ Wealth management penetration — underpenetrated market

Private banking and family office services remain underpenetrated in Panama. GFBG's existing client base and regional brand create a low-cost path to capturing that demand.

+ Capital deployment: M&A or geographic expansion

A 27.2% capital ratio implies meaningful excess capital. A targeted acquisition or regional expansion would accelerate earnings growth without equity dilution at current valuations.

06 / RISKS

What could go wrong

! NPL coverage declining: 152.6% to 124.3%

Reserve levels are falling relative to non-performing loans. Not yet a concern — but a drop below 100% would signal a material deterioration in asset quality.

! Sustained 20%+ AUM growth is unlikely long-term

Slowing AUM growth compresses fee revenue and removes the primary re-rating catalyst. A normalization to 10-12% growth would pressure multiples.

! Single-country exposure: Panama

No geographic diversification. Fiscal deterioration, sovereign downgrade, or regulatory tightening flows directly into earnings with no external buffer.

07 / CONCLUSION

Our view

OUTPERFORM

GFBG combines top-tier profitability with a structural shift toward asset management — a rare combination in regional banking. ROE above 20% is sustained. AUM is growing at nearly 21% per year. Capital is abundant. The business is becoming less capital-intensive and more profitable over time. Over a 2-3 year horizon, the primary return drivers are AUM expansion, margin

improvement from the fee/spread mix shift, and disciplined capital deployment. Risk/reward is asymmetric to the upside. We maintain OUTPERFORM.

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